Alphabet Inc.

GOOGL NASDAQ

Buy	$341.54 ▼ 0.77%	12M Price Target	52-Week Range	Market Cap
		$395.00	$244.15 – $408.61	$4.18T

GOOGL: Antitrust Cloud Lifting, AI Pipeline Still Humming

WHAT HAPPENED

- Quiet Monday — down 0.77% on light volume (only ~8M shares vs. the usual 20M+). That tells me this isn't real selling, it's just drift ahead of earnings. No news, no filings, nobody's panicking — people are just waiting.
- The real tell: options flow is heavily bullish (put/call of 0.50 means twice as many bets on the stock going up as down) and someone's loading up on near-term calls. Smart money is positioning for a move higher, likely into the earnings print.

WHY IT MATTERS

Here's what matters: GOOGL has quietly climbed from $244 to $341 this year and is sitting at 59% of its 52-week range — not overheated, not broken. The antitrust case that was supposed to force a Chrome breakup landed softer than feared (behavioral remedies, not structural), and that overhang is lifting faster than the market has priced in. Meanwhile, the Trump administration's AI Action Plan has been explicitly pro-American-AI-champion — less regulation, more federal cloud buying, export carve-outs for US chips — which is a direct tailwind for Google Cloud and Gemini. Translation: the political wind is at their back for the first time in years, and the stock is still trading cheaper than Microsoft on earnings.

POLICY & POLITICAL WATCH

Three things on my radar: (1) The DOJ antitrust remedy phase is still playing out — any further softening of the Chrome/Android ruling is pure upside. (2) The administration's AI Action Plan and federal procurement push favors scaled US cloud providers — Google Cloud is a direct beneficiary of government AI contracts. (3) EU Digital Markets Act fines are the lingering headwind — Brussels keeps nickel-and-diming them, but the dollar amounts are rounding errors against $400B+ in revenue. Net-net: US policy is a tailwind, EU is noise.

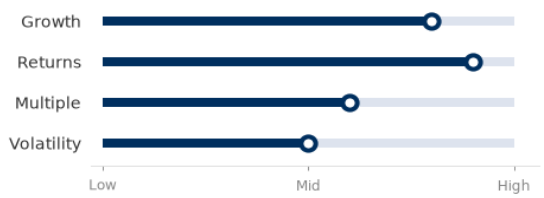
IS IT EXPENSIVE?

At ~$341 and roughly 33x forward earnings (meaning investors are paying $33 for every $1 of profit expected next year), GOOGL is not cheap in absolute terms — but it's still a discount to Microsoft (~35x) and Meta (~27x adjusted for growth) despite having arguably the strongest AI model stack with Gemini. The $4.2T market cap sounds enormous, but Cloud is growing 30%+ and Search is defying the "AI will kill it" narrative. You're paying a fair price for the best-positioned AI infrastructure story in the market.

WHAT COULD GO WRONG

Key Data	
Price (USD)	**$341.54**
12M Price Target	**$395.00**
Upside / (Downside)	**+15.7%**
Market Cap	**$4.18T**
FY2026E Revenue	**$415M**
FY2027E Revenue	**$475M**
FY2026E EPS	**$10.20**
FY2027E EPS	**$12.15**
Fwd P/E	**33.5x**

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



This report is prepared by Langston's using SEC EDGAR filings, market data (yfinance), and AI-generated analysis. It does not constitute investment advice. All figures are estimates. Past performance is not indicative of future results. Investors should conduct their own due diligence.

GOOGL — Alphabet Inc. | October 20, 2026

PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	**$365.00**	$348.00	**$325.00**
6 Months	**$410.00**	$375.00	**$310.00**
1 Year	**$460.00**	$395.00	**$290.00**
2 Years	**$550.00**	$450.00	**$270.00**
5 Years	**$800.00**	$600.00	**$300.00**
10 Years	**$1400.00**	$950.00	**$350.00**

WHAT'S MOVING IN THE SECTOR

HEATING UP: Healthcare (+2.22% today, +5.83% for the week) is ripping — likely rotation into defensive names and biotech catalysts. Financials catching a bid on steepening yield curve expectations.

COOLING OFF: Tech is quietly resting today — no sector move listed, which itself is telling after the big AI run. Money is taking profits and parking in healthcare and real estate.

ROTATION WATCH: Classic late-October rotation into defensives (Healthcare, Staples, Utilities all green) ahead of mega-cap tech earnings. This is positioning, not conviction selling — if GOOGL/MSFT/META print good numbers, money rotates right back.

RELATED PLAY: If you believe the AI capex cycle continues, the picks-and-shovels winners are the power and data center names — think Vistra, Constellation Energy, and the industrial REITs leasing to hyperscalers. They move WITH GOOGL's capex, not against it.

WHO'S WINNING IN THIS SPACE?

- MSFT (Microsoft): Enterprise AI monetization through Copilot is further along; investors pay a premium for predictability.
- META (Meta Platforms): Ad business is firing and Reality Labs losses are being tolerated — pure ad-tech leverage play.

GOOGL CONTEXT: GOOGL has actually outperformed MSFT YTD because it was starting from a cheaper base (antitrust discount). It's now catching up to peer multiples, which means the easy money has been made — but there's still a gap to close if Cloud keeps compounding.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

CONVICTION: 8/10 — High conviction long into earnings. The setup (bullish options flow, light-volume drift, lifted antitrust overhang, favorable US policy) is textbook pre-catalyst coiling.

POSITION SIZE: 4-6% of portfolio — this is a core holding, not a trade. Big enough to matter, small enough that an antitrust surprise doesn't wreck your year.

ENTRY POINTS: I'd add on any dip to $330-340. If we get a market-wide swoon that takes it under $320, that's a back-up-the-truck level.

TIME HORIZON: 12-24 months. Near-term catalyst is Q3 earnings; medium-term catalyst is Gemini enterprise adoption numbers through 2027.

WHEN TO BAIL: Cloud growth drops below 20%, DOJ appeals for structural breakup, or Search ad revenue goes negative year-over-year. Any one of those = exit.

HEDGING: Simplest hedge — buy a put spread (pay a little for insurance that pays off if the stock drops below $320). Or if you own a lot, just trim 20% here and buy back on a pullback.

This report is prepared by Langston's using SEC EDGAR filings, market data (yfinance), and AI-generated analysis. It does not constitute investment advice. All figures are estimates. Past performance is not indicative of future results. Investors should conduct their own due diligence.